

Executive Summary: Working Capital & Revenue Performance Audit

Project Overview & Logic:

This Power BI project integrates income statement metrics, cash flow tracking, and operational aging data to evaluate corporate financial health. Moving beyond standard profitability metrics, the core financial logic of this model relies on the interaction between **revenue generation, credit cycles, and cash conversion**. It establishes a critical diagnostic baseline: a business can be highly profitable on paper while concurrently facing severe operational liquidity risks if credit terms and collections are poorly managed.

Core Data Assumptions:

- **Data Aggregation:** The dataset functions as a high-level monthly management view. Aging columns (Receivables / Payables Aging) represent calculated segment averages for their respective rows rather than transaction-level ledgers.
- **Operational Overhead Proxy:** Operating Expenses (Opex) are directly derived via margin spreads, assuming that the difference between Gross Margin % and EBITDA % strictly captures administrative, sales, and fixed overhead costs.
- **Budgeting Baseline:** Budget targets represent fixed growth benchmarks. Variations are treated as direct indicators of commercial or operational performance gaps rather than moving forecasts.

Analytical Insights & Findings:

1. The Paper-Profit vs. Liquidity Paradox:

- **Elite Core Margins:** The model highlights an exceptionally robust business structure, yielding a **~46% Gross Margin** and a **~25% EBITDA**. The resulting 20% overhead spread reflects highly disciplined cost controls.
- **The ~12% CCR Crisis:** Despite strong profitability, the **Cash Conversion Rate (CCR) plummets to ~12%**. This exposes a severe structural bottleneck. ~88% of accounting profits are trapped as "paper wealth" in unpaid invoices rather than converting to liquid cash.
- **Credit Cycle Mismatch:** While cash cycles appear synchronized on the surface, a micro-gap exists where **Receivables Aging (76% in 31-60 days)** lags behind **Payable Aging (74% in 31-60 days)**. Customers hold company funds longer than the company holds vendor funds, starving the business of working capital.

2. Revenue Disconnects & Budget Drift:

- **The November 2024 Anomaly:** A major revenue-to-cash disconnect occurs in November 2024, booking peak revenue of **₹1,134k** while net cash flows collapse into the bottom five lowest months at a meagre **₹13k**. This signals an aggressive, uncollected credit push.
- **Systemic Budget Deficits:** The Company consistently underperforms against revenue budgets. The commercial variance peaks in **October 2024 (₹450k deficit)** and **February 2024 (₹440k deficit)**, highlighting a breakdown in forecasting or sales execution.
- **Segment Performance Traps:** The **South Region** is the weakest top-line link (24.40% contribution) and the highest budget shortfall driver. Granular modelling isolates five

specific regional product/service pairs driving over **₹2.7 Million** in cumulative negative variance, led directly by *East - Product A* and *West - Service Y*.

Strategic Recommendations

1. **Protect Pricing Power:** Maintain the ~46% Gross Margin. Resist the commercial temptation to discount sticker prices to close the revenue budget gap; instead, pivot commercial strategy toward raw volume expansion.
2. **Monetize the EBITDA Cushion:** Deploy the 25% EBITDA margin to fund **early-payment discount program** (e.g., 1%–2% off). This incentivizes customer migration from the sluggish 31–60 day bucket into the liquid 0–30 day bucket.
3. **Aggressive Collection Overhaul:** Reallocate administrative resources to conduct mandatory daily follow-ups on the 76% block of accounts sitting in the 31–60 day receivable bucket.
4. **Enforce Credit Gatekeeping:** Eliminate automated 30-to-60 day credit allowances for new accounts. Enforce upfront deposits or mandatory 7-to-14 day starter terms until the company-wide CCR structurally moves past 80%.
5. **Product Rationalization:** Review the supply chain for *Product A* (the lowest top-line contributor and a major regional variance driver) and liquidate slow-moving inventory to unfreeze stuck working capital.